

Principles of Accounting

Human vs. AI in Firm Accounting Analysis

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Introduction

The purpose of the presentation:

By comparing the results of human and AI accounting-based analyses of firms,

Evaluates how AI can support corporate financial analysis from an accounting perspective.



Main Businesses

- E-commerce
- AWS (Amazon Web Services)
- Digital Services
- Artificial Intelligence & Technology



Key Characteristics

- Customer-centered business strategy
- Fast delivery and large logistics network
- Strong cash flow and continuous investment in innovation
- Focus on long-term growth and AI development

Amazon's Disclosed Financial Statements

Breakdown	12/31/2025	12/31/2024	12/31/2023	12/31/2022
▼ Total Assets	818,042,000	624,894,000	527,854,000	462,675,000
Total Liabilities Net Minority Inte...	406,977,000	338,924,000	325,979,000	316,632,000
▼ Current Liabilities	218,005,000	179,431,000	164,917,000	155,393,000
▼ Total Non Current Liabilitie...	188,972,000	159,493,000	161,062,000	161,239,000
Total Equity Gross Minority Inter...	411,065,000	285,970,000	201,875,000	146,043,000
▼ Stockholders' Equity	411,065,000	285,970,000	201,875,000	146,043,000
Total Capitalization	476,713,000	338,593,000	260,189,000	213,193,000
Preferred Stock Equity	--	--	--	--
Common Stock Equity	411,065,000	285,970,000	201,875,000	146,043,000
Capital Lease Obligations	87,339,000	78,277,000	77,297,000	72,968,000
Net Tangible Assets	378,595,000	254,294,000	171,399,000	119,658,000
Working Capital	11,078,000	11,436,000	7,434,000	-8,602,000
Invested Capital	476,713,000	338,593,000	260,189,000	213,193,000
Tangible Book Value	378,595,000	254,294,000	171,399,000	119,658,000
Net Debt	--	--	--	13,262,000
Share Issued	11,246,000	11,108,000	10,898,000	10,757,000
Ordinary Shares Number	10,731,000	10,593,000	10,383,000	10,242,000
Preferred Shares Number	--	--	--	--
Treasury Shares Number	515,000	515,000	515,000	515,000

◀Multi-year Balance Sheets abridgment▶

Breakdown	TTM	12/31/2025	12/31/2024	12/31/2023	12/31/2022
▼ Total Revenue	742,776,000	716,924,000	637,959,000	574,785,000	513,983,000
Cost of Revenue	366,901,000	356,414,000	326,288,000	304,739,000	288,831,000
Gross Profit	375,875,000	360,510,000	311,671,000	270,046,000	225,152,000
▼ Operating Expense	290,453,000	280,535,000	243,078,000	233,194,000	212,904,000
Operating Income	85,422,000	79,975,000	68,593,000	36,852,000	12,248,000
▼ Net Non Operating Interest In...	1,917,000	2,107,000	2,271,000	-233,000	-1,378,000
▼ Other Income Expense	28,127,000	15,229,000	-2,250,000	938,000	-16,806,000
Pretax Income	115,466,000	97,311,000	68,614,000	37,557,000	-6,936,000
Tax Provision	24,094,000	19,087,000	9,265,000	7,120,000	-3,217,000
Earnings from Equity Interest Ne...	-574,000	-554,000	-101,000	-12,000	-3,000
▼ Net Income Common Stockho...	90,798,000	77,670,000	59,248,000	30,425,000	-2,732,000
Diluted NI Available to Com Stoc...	90,798,000	77,670,000	59,248,000	30,425,000	-2,732,000
Basic EPS	8.49	7.29	5.66	2.96	-0.27
Diluted EPS	8.36	7.17	5.53	2.90	-0.27
Basic Average Shares	10,691,000	10,658,000	10,473,000	10,304,000	10,189,000
Diluted Average Shares	10,847,250	10,827,000	10,721,000	10,492,000	10,189,000
Total Operating Income as Repor...	85,422,000	79,975,000	68,593,000	36,852,000	12,248,000
Total Expenses	657,354,000	636,949,000	569,266,000	537,933,000	501,735,000
Net Income from Continuing & D...	90,798,000	77,670,000	59,248,000	30,425,000	-2,732,000
Normalized Income	68,468,179.13	65,354,930.99	60,836,083.54	29,574,067.43	10,138,140

◀Multi-year income statement abridgment▶

Amazon's Disclosed Financial Statements

Breakdown	3/31/2026	12/31/2025	9/30/2025	6/30/2025	3/31/2025
▼ Total Assets	916,630,000	818,042,000	727,921,000	682,170,000	643,256,000
Total Liabilities Net Minority Inte...	474,716,000	406,977,000	358,290,000	348,395,000	337,389,000
▼ Current Liabilities	216,756,000	218,005,000	195,196,000	186,921,000	176,171,000
▼ Total Non Current Liabilitie...	257,960,000	188,972,000	163,094,000	161,474,000	161,218,000
Total Equity Gross Minority Inter...	441,914,000	411,065,000	369,631,000	333,775,000	305,867,000
▼ Stockholders' Equity	441,914,000	411,065,000	369,631,000	333,775,000	305,867,000
Total Capitalization	560,988,000	476,713,000	420,373,000	384,493,000	359,241,000
Preferred Stock Equity	--	--	--	--	--
Common Stock Equity	441,914,000	411,065,000	369,631,000	333,775,000	305,867,000
Capital Lease Obligations	90,814,000	87,339,000	84,677,000	83,221,000	79,871,000
Net Tangible Assets	418,465,000	378,595,000	346,371,000	310,620,000	282,778,000
Working Capital	38,399,000	11,078,000	1,670,000	4,499,000	8,474,000
Invested Capital	560,988,000	476,713,000	420,373,000	384,493,000	359,241,000
Tangible Book Value	418,465,000	378,595,000	346,371,000	310,620,000	282,778,000
Net Debt	17,258,000	--	--	--	--
Share Issued	11,269,251.80	11,246,000	11,202,000	11,175,000	11,128,000
Ordinary Shares Number	10,754,251.80	10,731,000	10,687,000	10,660,000	10,613,000
Preferred Shares Number	--	--	--	--	--
Treasury Shares Number	515,000	515,000	515,000	515,000	515,000

◀Quarterly Balance Sheet abridgment▶

Analysis by people

Risk: Current liabilities are increasing each year, and the similar level of current assets and liabilities may create short-term cash flow pressure. Rising investment spending is also accelerating debt growth.

Financial Issues: Amazon benefits from collecting cash quickly from customers while delaying supplier payments, but rapid growth in capital expenditures is reducing actual retained cash despite higher net income.

Future Performance: Sales increased by around 12% year-over-year, and steady growth since 2022 suggests continued expansion in sales, assets, and equity.

Conclusion: Amazon is not facing an immediate financial crisis, but increasing debt and cash flow concerns require closer monitoring in the future.

Analysis by AI

Prompt:

From now on, you are a professional accountant.

Based on Amazon's most recent four years to 2026 of annual reports (10-K), provide an analysis that excludes management's optimistic outlook and is structured into four sections: risks, financial problems, future performance, and conclusion.

Analysis by AI

Major Risks :

- Heavy dependence on AWS profitability
- Increasing regulatory and antitrust pressure
- Massive AI/data center capital spending burden
- Retail business remains sensitive to economic slowdown

Financial Problems :

- Weak free cash flow despite earnings growth
- Profitability concentrated in AWS and advertising
- Rising depreciation and fixed operating costs
- More one-time accounting adjustments reducing earnings clarity

Future Outlook :

- Revenue growth likely to continue through AWS, ads, and Prime ecosystem
- However, high AI infrastructure investment may pressure margins and cash flow
- If AI demand weakens, returns on investment could deteriorate
- If AI monetization succeeds, profitability could improve significantly

Analysis by AI

Base Case

- Stable revenue growth expected from:
- AWS demand
- Advertising
- Prime ecosystem
- Marketplace expansion

Downside Risks

- Overinvestment in AI infrastructure
- Lower cloud margins and slower ROI
- Underutilized data centers

Upside Potential

- Successful AI monetization
- Strong operating leverage from AWS and custom AI chips
- Long-term profitability expansion possible



Main Business

- AI Accelerators & GPUs
- Data Center Semiconductor Solutions
- Gaming Graphics Cards
- AI Infrastructure & Computing Platforms
- Automotive and Edge AI Technologies

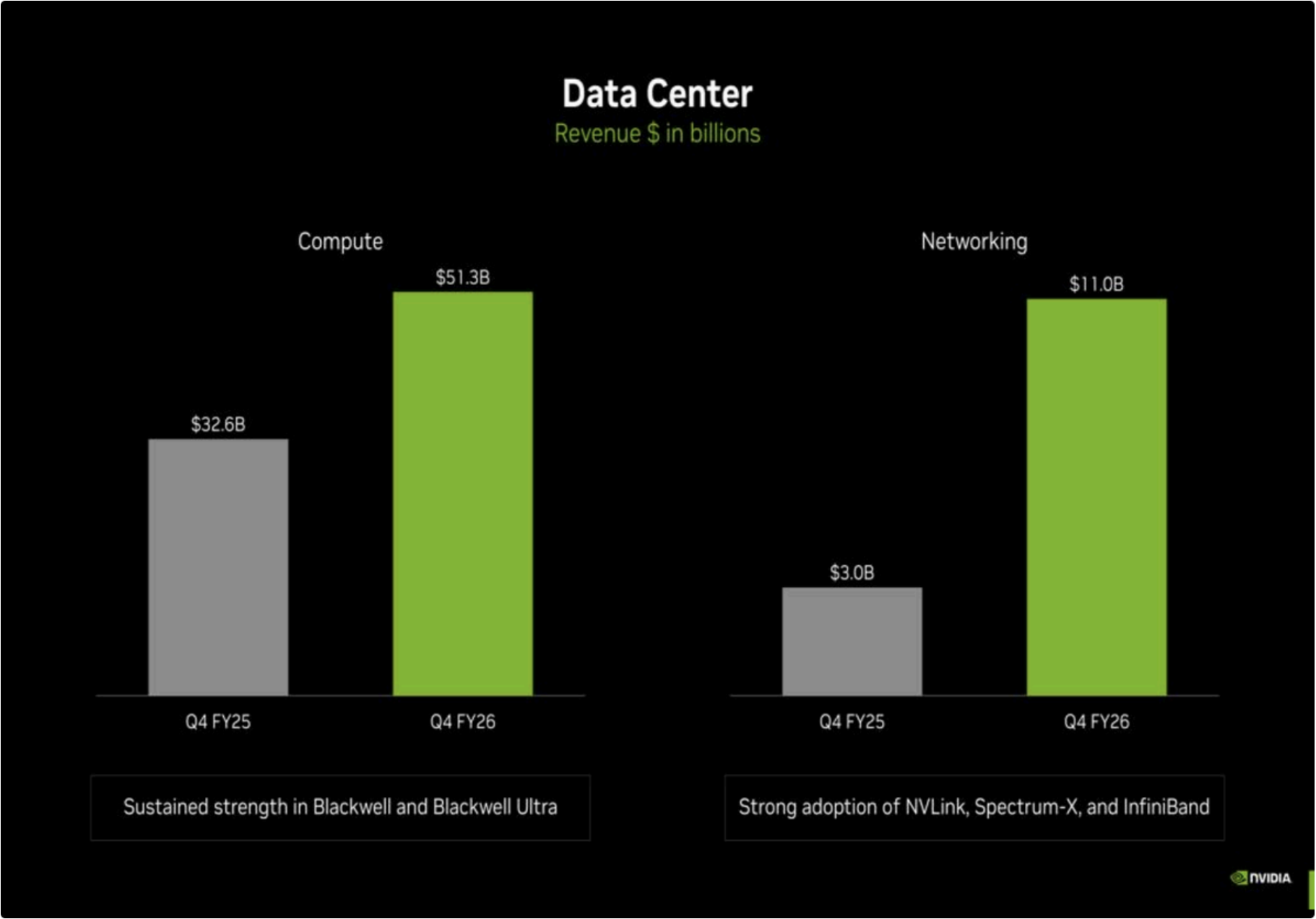
Key Characteristics

- Strong Revenue Growth from AI Demand
- High Operating Profit Margin
- Efficient Inventory Management
- Dependence on Major Customers
- Valuation Risk from Rapid Market Expansion

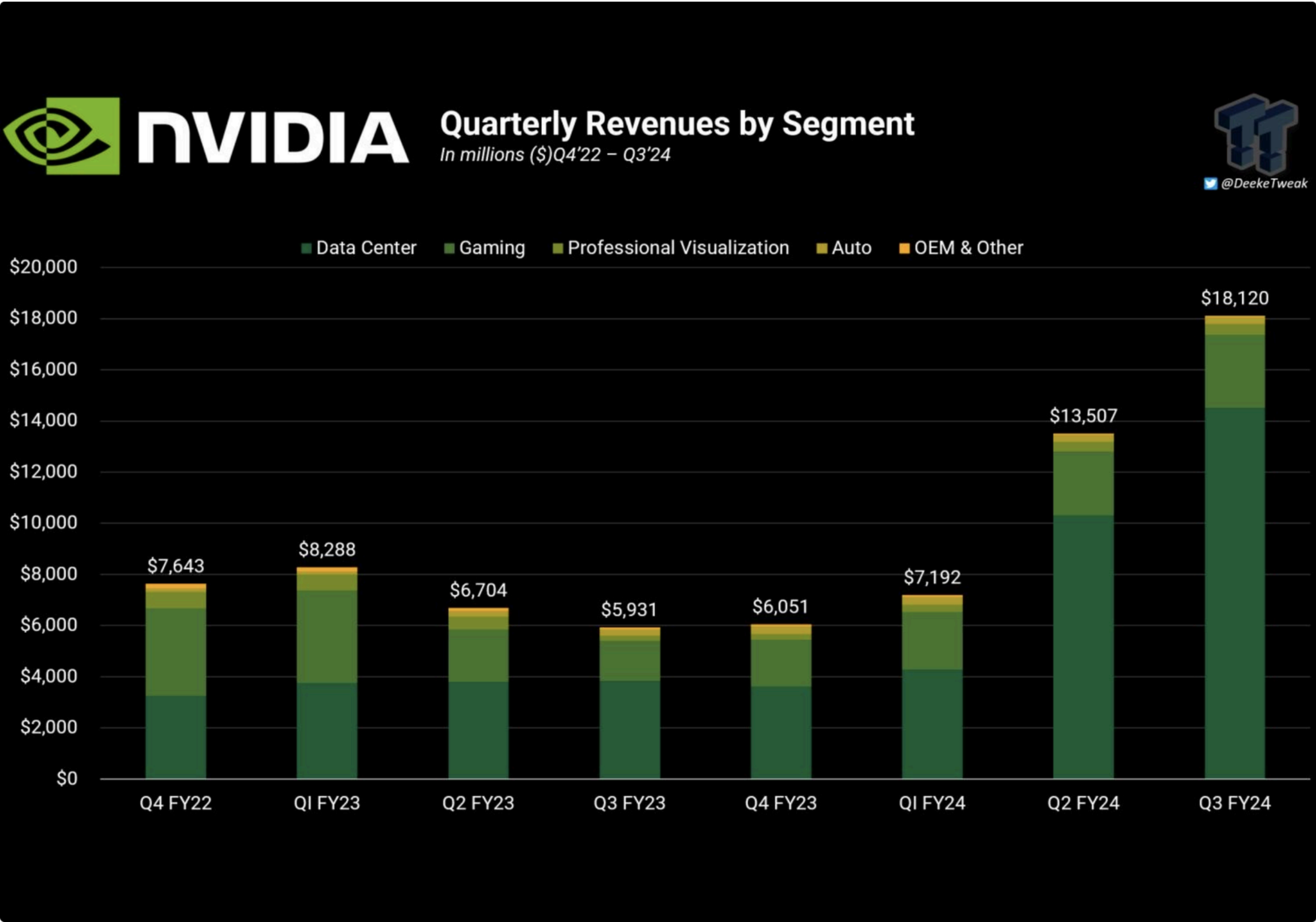
NVIDIA's Disclosed Financial Statements

NVIDIA QUARTERLY REVENUE TREND
REVENUE BY MARKETS

(\$ in millions)	Q1 FY25	Q4 FY24	Q3 FY24	Q2 FY24	Q1 FY24	Q4 FY23	Q3 FY23	Q2 FY23
Data Center	\$22,563	\$18,404	\$14,514	\$10,323	\$4,284	\$3,616	\$3,833	\$3,806
Gaming	2,647	2,865	2,856	2,486	2,240	1,831	1,574	2,042
Professional Visualization	427	463	416	379	295	226	200	496
Auto	329	281	261	253	296	294	251	220
OEM & Other	78	90	73	66	77	84	73	140
TOTAL	\$26,044	\$22,103	\$18,120	\$13,507	\$7,192	\$6,051	\$5,931	\$6,704



NVIDIA's Disclosed Financial Statements



Analysis by people

Risk: NVIDIA heavily depends on the AI industry, so a slowdown in AI investment could reduce its growth rate. The company also faces customer concentration risk because several major cloud companies account for a large portion of revenue.

Financial Issues: Although NVIDIA shows excellent profitability and cash flow, its stock is considered highly valued compared to traditional semiconductor firms. This high valuation may increase market volatility and investor concerns.

Future Performance: The company is expected to maintain strong growth due to increasing demand for AI chips and data center infrastructure. High margins and strong operating efficiency are also likely to support future earnings growth.

Conclusion: NVIDIA is financially strong and has significant long-term growth potential. However, investors should carefully monitor AI market conditions and valuation risks.

Analysis by AI

Prompt:

Analyze NVIDIA's accounting and financial performance.

Do not simply summarize it — include the following points in the analysis:

- Revenue growth rate and sustainability of growth
- Changes in gross margin and operating margin
- Cash flow and quality of earnings
- Risks related to inventory and accounts receivable growth
- Debt and financial stability
- Whether the growth rate is overheated and the possibility of mean reversion
- Comparison with past semiconductor industry cycles
- Possibility of future growth slowdown
-

Also present the company's current financial condition, key risks, and warning signals detected by AI.

Analysis by AI

AI Accounting Analysis of NVIDIA (Summary)

- AI analyzed financial statements, profit trends, cash flow, industry averages, and historical volatility data.
- Similar to human analysts, AI identified strong growth, high profitability, and solid financial stability as NVIDIA's main strengths.

Additional Risks Identified by AI

- Revenue growth exceeded 100% for two consecutive years, which AI considered historically unusual and difficult to sustain long term.
- Most revenue is concentrated in the data center business, creating dependence on AI server investment demand.
- AI detected potential inventory risk if future demand slows, which could lead to oversupply and lower margins.
- Gross margin showed slight declines from peak levels, signaling possible competition or price normalization.
- Using mean reversion analysis, AI predicted that extremely high growth rates may gradually slow over time.

AI in Accounting:

Effectiveness and Limitations

Effectiveness

Pattern Detection

- Detects:
- Revenue growth patterns
- Early signs of margin decline
- Cash flow abnormalities
- Faster than human analysis

Financial Simulation

- Enables rapid large-scale financial forecasting

Consistency

- AI provides more consistent results from the same data

Limitations

Weakness in Qualitative Analysis

AI has limitations in interpreting:

- Management credibility
- Intentional accounting manipulation
- Industry sentiment
- Regulatory changes
- Political uncertainty

Conclusion

- AI significantly improves the quality of accounting-based firm analysis.
- AI is especially effective for: Large-scale data analysis, Risk assessment, Financial simulations, Detecting financial patterns quickly and consistently
- However, human judgment is still important for interpreting qualitative factors and making final decisions

Final Insight

The most effective approach is combining human judgment with AI-driven data analysis.

By utilizing AI effectively, accounting analysis can become faster, more accurate, and more efficient.

THANK YOU